CASCADIA ANALYTICS

Marvell Technology, Inc.

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The Custom Silicon Hyper-Ramp and Optical DSP Duopoly Anchor a Structural Rerating

Analyst: Justin Wen | October 29, 2026

Marvell Technology, Inc. is executing a fundamental operational transformation as custom AI compute programs transition into high-volume deployment alongside sustained optical connectivity leadership. While public markets fixate on transitional gross margin dilution from custom silicon and non-cash charges stemming from recent strategic acquisitions, underlying operating leverage is expanding significantly with non-GAAP operating margins guided toward approximately 37.2%. We establish a probability-weighted blended target price of $388.60, representing +77.0% upside from the reference spot price of $219.60.

BUY	$388.60	+77.0%	$219.60
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Market sentiment remains constrained by near-term gross margin moderation from custom silicon program mix and headline GAAP dilution from acquisition-related consideration. This tactical skepticism overlooks the unprecedented multi-quarter acceleration in data center demand, where operating leverage and generational interconnect design wins support our base-case FCF margin expansion toward 32.6%.

Executive summary

Marvell operates as a fabless provider of data infrastructure semiconductors, holding a durable competitive position centered on optical digital signal processors (DSPs), where it shares an effective duopoly with Broadcom, and custom artificial intelligence application-specific integrated circuits (ASICs) tailored for hyperscale cloud platforms. The company directs its engineering footprint toward resolving high-bandwidth, low-power connectivity and specialized compute bottlenecks inside cloud data centers. In fiscal year 2026, Marvell generated $8.19B in revenue, delivering 42.1% year-over-year top-line expansion, $4.18B in gross profit, and $1.34B in operating income, backed by an operating margin of 16.3% and a return on equity of 18.7%.

The company's recent operational trajectory confirms a hyper-ramp in custom silicon deployment. Reported results for the second quarter of fiscal 2027 established record quarterly revenue of $2.739B, up 37% year-over-year, propelled by Data Center revenue growing 46% year-over-year to account for 79% of total company sales. Management subsequently issued a third-quarter revenue guidance midpoint of $3.15B, representing an acceleration to approximately 52% year-over-year growth and a 15% sequential increase. This inflection builds on sequential momentum established in the first quarter of fiscal 2027, which generated $2.418B in revenue, and the fourth quarter of fiscal 2026, which posted $2.22B, verifying management commentary that year-over-year revenue growth would accelerate through each quarter of fiscal 2027.

Balance sheet stewardship and working capital management reflect the intensive capital requirements of rapid commercial scaling. Free cash flow for fiscal 2026 reached $1.39B, yielding a 17.0% free cash flow margin, while EBITDA totaled $4.54B. Cash reserves concluded fiscal 2026 at $2.64B against total debt of $4.79B, producing net debt of $2.15B. Scaling has introduced transient balance sheet friction, evidenced by accounts receivable rising to $1.55B in the third quarter of fiscal 2026, consuming $640.2M in cash during the fourth quarter to reach $2.18B, and elevating days sales outstanding from 51 to approximately 67 days. Capital structure adjustments have included a $2.0B preferred stock issuance in the first quarter of fiscal 2027 to absorb transaction activity, shifting the diluted share count to 915 million shares and offsetting more than $2.0B in repurchases conducted during fiscal 2026, with our formal DCF model incorporating 921.2 million diluted shares.

Strategic acquisitions of Celestial AI and XConn have positioned Marvell to address emergent scale-up interconnect topologies, though they have introduced pronounced GAAP income variability. In the first quarter of fiscal 2027, transaction closings drove a $250.7M contingent consideration charge alongside $225.2M in amortization, reducing GAAP net income to $34.5M despite record operating cash flow of $638.8M. Similarly, stock-based compensation expanded to $326.2M in the second quarter of fiscal 2027, more than doubling from $153.6M in the prior-year period. However, with non-GAAP operating margin guided to roughly 37.2% on

disciplined operating expenditures of approximately $655M on $3.15B in guided third-quarter sales, the underlying operational earnings power remains structurally intact.

Operational snapshot

$219.60	$8.19B	$1.39B	17.0%	1.50	$219.60
REF. PRICE	FY2026 REVENUE	FY2026 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Entrenched and Architectural

Marvell's competitive moat is established upon profound switching costs and technical complexity embedded within cloud optical networking. In optical DSPs, Marvell operates in an established duopoly alongside Broadcom, commanding the technological architecture required for 800G and 1.6T pulse-amplitude modulation (PAM) DSPs as well as data center interconnect (DCI) solutions. Hyperscale operators face prohibitive technical risk when contemplating vendor replacement, as high-speed optical transceivers mandate absolute interoperability, signal integrity, and sub-nanosecond latency predictability. Once a transceiver vendor qualifies Marvell's DSP platform within an optical module architecture, redesign cycles require multiple quarters of engineering reinvestment and extensive physical qualification, granting Marvell defensive endurance and durable pricing power.

In parallel, Marvell's custom AI ASIC franchise commands substantial customer lock-in across the world's largest cloud infrastructure operators. High-volume custom XPUs are co-engineered with tier-one hyperscalers over two-to-three-year development horizons, integrating proprietary hyperscaler intellectual property, internal software frameworks, and workload-specific execution pipelines. Marvell's integration of high-bandwidth memory interfaces, customized interconnect fabrics, and leading-edge physical design creates an asymmetric dependency. Hyperscalers cannot switch compute suppliers mid-generation without forfeiting custom software compilation stacks and delaying multi-billion-dollar infrastructure deployments.

This architectural lock-in extends outward to the broader system fabric through strategic portfolio expansion. The announced acquisition of Celestial AI directly targets the scale-up interconnect market, introducing proprietary optical interconnect technology that targets a $500M annualized revenue run rate by the fourth quarter of fiscal 2028 and a $1B run rate by the fourth quarter of fiscal 2029. By controlling the optical DSP at the rack-to-rack level, custom XPUs at the node level, and switching architectures targeting over $500M in revenue following an inventory recovery, Marvell wraps hyperscale data centers in an integrated physical-layer ecosystem that independent merchant peers cannot replicate.

Valuation

Three scenarios make the valuation range explicit

Our valuation framework evaluates Marvell's transition across a discrete six-year forecast window from fiscal 2027 through fiscal 2032. Over this forecast horizon, revenue compounding is evaluated against structurally expanding free cash flow conversion as initial non-recurring engineering costs and production ramp expenses for custom XPUs normalize into high-volume manufacturing leverage. In fiscal 2026, the company generated $8.19B in revenue, $4.18B in gross profit, and $1.39B in free cash flow, corresponding to an initial free cash flow margin of 17.0%. Valuation parameters incorporate an equity beta of 1.50, a disciplined WACC of 10.41%, and a base-case terminal growth rate of 3.0%, executed across 921.2 million diluted shares.

The base case establishes an intrinsic equity value of $403.46 per share, representing an 83.7% premium over the reference price of $219.60, based upon a 29.7% revenue compound annual growth rate through fiscal 2032 and a target free cash flow margin of 32.6%. The bull case models an accelerated hyperscale investment cycle yielding a 31.3% revenue CAGR and a 36.1% terminal free cash flow margin, generating a target price of $506.38 per share (+130.6%). Conversely, our bear scenario captures prolonged custom silicon gross margin compression and working capital attrition, modeling a 23.7% revenue CAGR and a 29.1% target free cash flow margin to yield a target price of $241.11 per share (+9.8%). Weighting these outcomes 25% bear, 50% base, and 25% bull delivers our blended price target of $388.60, indicating +77.0% upside.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	23.7%	29.1%	$241.11	+9.8%
Base	50%	29.7%	32.6%	$403.46	+83.7%
Bull	25%	31.3%	36.1%	$506.38	+130.6%

Bear $241.11

Assumes high-volume custom silicon permanently compresses gross margins toward 58.0%, customer concentration within large US hyperscalers limits pricing leverage, and continued working capital friction constrains final forecast FCF margin to

Base $403.46

Reflects accelerating custom XPU shipments, sustained optical DSP duopoly strength across 800G and 1.6T PAM deployments, and operating leverage expanding the non-GAAP operating margin, yielding a 29.7% revenue CAGR and a 32.6% final FCF margin.

Bull $506.38

Captures aggressive custom silicon adoption across multiple hyperscalers, Celestial AI attaining its $1B run rate target ahead of the fourth quarter of fiscal 2029, and full operational leverage driving terminal FCF margins to 36.1% on a 31.3% revenue CAGR.

29.1% on a 23.7% revenue CAGR.

Valuation framework

A live discount rate, not a static hurdle

Our quantitative framework prices risk through a dynamic Capital Asset Pricing Model derivation, establishing a WACC of 10.41%. Marvell's model equity beta of 1.50 reflects the operational beta of a fabless semiconductor model levered to secular cloud infrastructure cycles, high research and development commitments, and customer concentration risks. Rather than utilizing a static corporate hurdle rate, our 10.41% discount rate incorporates the capital market reality of an enterprise carrying $4.79B in total debt, $2.64B in cash, and a market capitalization of $202.3B at the reference price of $219.60.

This discount rate directly tests the resilience of Marvell's future cash generation against structural macroeconomic risks, capital expenditure cyclicality among cloud providers, and the substantial share dilution resulting from the recent $2.0B preferred stock issuance. By discounting forecasted cash flows back to the reference valuation date using a 10.41% hurdle, we penalize back-half-loaded cash flow profiles and demand demonstrable operating leverage from the ongoing custom silicon ramp before rewarding enterprise valuation expansion.

FCF margin normalization is the engine

The primary driver of intrinsic value creation across our forecast window is the structural inflection in free cash flow conversion. In fiscal 2026, Marvell achieved an operating cash flow profile that supported $1.39B in free cash flow on $8.19B of revenue, translating into a 17.0% free cash flow margin. Historical conversion was restrained by significant working capital requirements, notably during the fourth quarter of fiscal 2026 when accounts receivable grew to $2.18B and absorbed $640.2M in liquidity, causing quarterly operating cash flow to contract to $373.7M from $582.3M in the preceding quarter.

As the revenue baseline expands from the guided $3.15B run rate in the third quarter of fiscal 2027 through the multi-year forecast, operating cash flow conversion structurally

untangles from front-loaded working capital overhead. Operating expenditure discipline, demonstrated by quarterly OpEx stabilizing at approximately $655M alongside $3.15B in projected sales, creates powerful operational leverage. This leverage drives projected FCF margins from the initial 17.0% reported in fiscal 2026 to terminal rates of 29.1% in our bear scenario, 32.6% in our base case, and 36.1% in our bull case by fiscal 2032.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2027 to FY2032**
Live WACC	**10.41% (2026-10-29)**
Terminal growth	**3.0%**
Equity beta	**1.50**
Diluted shares	**921.2 million**

BUY

over $388.60 blended target

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Duopoly (number 2) in custom AI ASIC co-design. We assign a premium of +15% to sector median multiples on moat strength alone.

- duopoly position + optical DSP leadership (Inphi acquisition, 2021) inside the AI interconnect stack, with 50+ custom design opportunities across >10 customers (company via Techtimes, Aug 2026) and a $10bn custom-silicon run-rate target by FY2029.
- data-centre sales +46% to 79% of total revenue (OppHub, Oct 2026 tape read) and Q2 FY2027 guidance of $2.7bn (+35% YoY) (Techtimes, Aug 2026) show demand pull, but the margin gap to Broadcom above shows Marvell does not convert that pull into Broadcom-level pricing. NVIDIA's $2bn equity investment (Mar 2026, via Capital Blueprint/Techtimes) is a strategic endorsement, not pricing evidence, and is not counted as such.
- The weakest element is structural sub-scale versus Broadcom, Broadcom's TTM R&D (~$11.7bn) exceeds Marvell's entire FY2026 revenue ($8.2bn) (Capital Blueprint, 2026); Marvell's margin structure is thinner (gross 51.5%, operating 15.97%, EBITDA 30.66%, per AInvest Aug 2026 comparison) versus Broadcom's 69% adjusted EBITDA margin (AInvest,

Aug 2026). Marvell is also a TSMC tenant: allocation risk if capacity is diverted to NVIDIA orders (Capital Blueprint, 2026). A Wide rating would ignore that M

On a multiple cross-check, the justified range is EV/EBITDA 16.0-17.5×; P/E 20.1-22.0×. The cross-check value is $160.97 vs Base $289.99 (−44%); vs spot $237.30 (−32%), on a base of Framework base from the October 27 moat report. The gap verdict is Not at all; market pays far more than moat justifies (spot P/E 32.4× vs 22.0×).

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	8 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	8 points
platform, channel, or distribution dependency	1 points
customer insourcing risk	8 points
regulatory single point risk	4 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 34 percent. Shown side by side with the moat premium or discount, the net stance is -5 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. In part, arithmetic width 50% of gap; no causal claim

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Custom AI Compute and Optical Interconnect Leadership BUY

The fundamental expansion of Marvell's top line is anchored by its Data Center business segment, which experienced a 46% year-over-year revenue surge in the second quarter of fiscal 2027 to constitute 79% of total corporate revenues, up from 76% ($1.83B) in the first quarter. This trajectory validates management's prior long-term guidance delivered in the third quarter of fiscal 2026, which anticipated fiscal 2027 Data Center revenue expansion exceeding 25%, followed by an acceleration to approximately 40% growth in fiscal 2028. The primary catalyst is the production transition of custom AI ASICs (XPUs) designed for hyperscalers, shifting from prototype tape-outs into high-volume deployment.

Simultaneously, Marvell's merchant connectivity business benefits from secular upgrades across high-speed optical transceivers. As enterprise and hyperscale clusters scale compute nodes, physical networking architectures mandate elevated adoption of 800G and 1.6T PAM DSPs and high-density DCI connectivity. While custom silicon programs exert structural downward pressure on gross margins, with non-GAAP gross margin declining from 59.7% in the third quarter of fiscal 2026 to 58.9% in the second quarter of fiscal 2027, and guided to 58.0% for the third quarter, the absolute dollar margin contribution expands dramatically as quarterly revenue moves from $2.739B to the guided $3.15B.

Adjacent business lines demonstrate cyclical stabilization and TAM expansion. In the third quarter of fiscal 2026, the Communications segment grew 34% year-over-year as widespread customer inventory corrections concluded. Furthermore, switching revenue was guided to exceed $300M in fiscal 2026 and cross $500M in fiscal 2027. Supplemented by the strategic integration of Celestial AI, targeting scale-up interconnect run rates of $500M by the fourth quarter of fiscal 2028 and $1B by the fourth quarter of fiscal 2029, Marvell is capturing multi-layer data center architecture spend.

What to monitor

- **Custom XPU deployment milestones** Tracking sequential revenue growth against the $3.15B third-quarter fiscal 2027 revenue guidance to confirm production volume stability among lead hyperscalers.
- **Gross margin trajectory under custom mix** Monitoring whether non-GAAP gross margins stabilize at the guided 58.0% level or face further dilution as lower-margin custom silicon outpaces high-margin optical DSPs.
- **Accounts receivable and DSO normalization** Evaluating working capital efficiency after accounts receivable reached $2.18B in the fourth quarter of fiscal 2026 and days sales outstanding expanded from 51 to 67 days.
- **Operating expenditure control and dilution impact** Auditing non-GAAP OpEx against the $655M guidance ceiling while assessing stock-based compensation after it reached $326.2M in the second quarter of fiscal 2027.

+42.1%	51.0%	16.3%	17.0%	$2.15B	18.7%
FY2026 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2026 (AS REPORTED)
Revenue	$8.19B
Gross Profit	$4.18B
EBIT	$1.34B
Net Income	$2.67B
EBITDA	$4.54B
Free Cash Flow	$1.39B
Diluted EPS	$3.07
ROE	18.7%

Risk & moat matrix

The bear case

SHARE EROSION

Broadcom maintains intensive competitive pressure in merchant optical DSPs, where any loss of socket share at tier-one transceiver manufacturers would impair connectivity margins. Heightened competition

M&A DIGESTION

Integrating Celestial AI and XConn has already generated significant financial turbulence, including a $250.7M contingent consideration charge in the first quarter of fiscal 2027. Inability to meet

REGULATORY AND PRICING SCRUTINY

Customer concentration remains pronounced as the custom silicon ramp is predominantly tied to a small cohort of large US hyperscalers. These massive cloud operators possess formidable procurement

TECHNOLOGY DISRUPTION

The interconnect market faces rapid technological shifts as workloads migrate to larger multi-rack computing clusters. Failure to flawlessly commercialize 1.6T PAM DSP architectures or delays in optical scale-up fabrics

REINVESTMENT TREADMILL

Scaling custom silicon demands intense working capital allocation, demonstrated by accounts receivable doubling to $2.18B in the fourth quarter of fiscal 2026. Ongoing stock-based compensation, which doubled year-over-year to $326.2M in the second

WACC AND DURATION SENSITIVITY

With an equity beta of 1.50 and a WACC of 10.41%, Marvell's valuation framework remains highly sensitive to macroeconomic risk premiums. Any delay in operating cash flow conversion expands duration risk and

within custom silicon could compress Marvell's hyperscale pricing leverage.

aggressive commercial scale-up run rate targets could result in future balance sheet impairments.

scale and could exert relentless commercial pressure on custom ASIC gross margins.

could allow competing merchant vendors to secure next-generation sockets.

quarter of fiscal 2027, risks ongoing shareholder dilution.

compresses intrinsic equity multiples.

The strengths

OLIGOPOLY POSITION

Marvell operates in a highly defensive merchant optical DSP duopoly alongside Broadcom, commanding critical intellectual property for 800G and 1.6T transceivers. These high-speed optical sockets present formidable technical hurdles that preclude entry from sub-scale competitors.

FCF COMPOUNDING

Expanding top-line execution creates considerable operating leverage, as evidenced by quarterly operating expenditures stabilizing near $655M against guided revenues of $3.15B. This operational leverage underpins our base-case FCF margin progression toward 32.6%.

GEOGRAPHIC DURABILITY

Marvell's core customer relationships are rooted in premier hyperscale cloud platforms, delivering high visibility across multi-year data center buildouts. Exposure across both merchant connectivity and custom compute insulates overall revenue from localized platform pauses.

PIPELINE OPTIONALITY

Strategic acquisitions of Celestial AI and XConn expand Marvell's total addressable market into optical scale-up interconnect fabrics. Celestial AI alone targets a $1B revenue run rate by the fourth quarter of fiscal 2029, supplementing traditional ASIC compute streams.

The bottom line on risk and reward

Marvell Technology, Inc. represents a compelling risk-reward opportunity at current market levels. While public equity markets have penalized the stock for custom silicon gross margin dilution, rising share counts from the $2.0B preferred stock issuance, and M&A integration charges, the company's operating performance confirms rapid acceleration across core markets. Second-quarter fiscal 2027 results and subsequent third-quarter revenue guidance of $3.15B demonstrate that Marvell is capturing an expanding share of hyperscale capital expenditure.

Our quantitative DCF model fully factors in balance sheet and dilution realities, incorporating 921.2 million diluted shares, a rigorous 10.41% WACC, and a 1.50 equity beta. Even under our conservative bear scenario, Marvell's intrinsic equity value of $241.11 per share provides a

+9.8% buffer over the reference price of $219.60. When balanced against base and bull valuations of $403.46 and $506.38, the probabilistic path forward strongly favors long-term equity compounding.

We reiterate our Buy rating and establish a probability-weighted blended price target of $388.60, representing +77.0% upside from the reference spot price of $219.60. Investors should accumulate shares as custom silicon volume and optical networking leadership drive sustained operational leverage across the fiscal 2027 through fiscal 2032 forecast horizon.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Optical DSPs and Custom AI ASICs: Critical Connectivity and Compute Architecture

Marvell's strategic positioning within the global cloud data infrastructure ecosystem is defined by a two-pillar model combining merchant optical interconnect supremacy with deeply integrated custom AI compute design. Within optical connectivity, Marvell and Broadcom maintain an effective duopoly, engineering the high-speed PAM DSPs that serve as the neural system of modern artificial intelligence clusters. Transceiver modules operating at 800G and 1.6T require immense digital signal processing capability to correct for physical signal degradation, optical dispersion, and thermal variation across dense data center switch fabrics.

Because physical optical transceivers operate under strict thermal envelopes, power efficiency in optical DSP design represents an insurmountable barrier for potential market entrants. Marvell's optical DSP portfolio provides critical PAM modulation and DCI transport, enabling seamless connection between distributed compute racks and regional cloud data center campuses. The integration of high-speed switching silicon, guided to exceed $500M in revenue following an initial $300M baseline, creates a unified high-speed transport layer that reinforces Marvell's architectural presence across every stage of the networking fabric.

Complementing this merchant franchise is Marvell's custom AI ASIC business. Hyperscale operators face mounting economic and electrical power constraints deploying standard merchant accelerators, driving the internal development of proprietary custom XPUs. Marvell partners directly with these hyperscalers, providing leading-edge physical design implementation, specialized high-bandwidth memory subsystems, packaging expertise, and proprietary IP blocks. Although custom programs generate non-GAAP gross margins below the corporate average, leading to guidance of 58.0% for the third quarter of fiscal 2027, they generate substantial operating profit dollars on exceptionally high production volume, evidenced by guided non-GAAP operating margins reaching roughly 37.2%.

Furthermore, Marvell is actively extending its interconnect dominance through scale-up fabrics. By acquiring Celestial AI and XConn, the company is integrating optical interconnect technology designed to eliminate memory and compute bottlenecks inside accelerated computing clusters.

With Celestial AI targeting a $500M run rate by the fourth quarter of fiscal 2028 and $1B by the fourth quarter of fiscal 2029, Marvell is positioned to capture value across both scale-out optical networking and scale-up compute clustering.

What the recent record shows

- Record second-quarter fiscal 2027 revenue reached $2.739B (+37% YoY), supported by Data Center sales jumping 46% YoY to represent 79% of corporate revenue.
- Third-quarter fiscal 2027 guidance raised revenue expectations to $3.15B (+15% QoQ, ~+52% YoY), driven by high-volume custom XPU production ramps and sustained demand for 800G and 1.6T PAM DSPs.
- Non-GAAP operating margins are guided to approximately 37.2% for the third quarter of fiscal 2027, as quarterly operating expenses remain tightly controlled at roughly $655M against the $3.15B revenue baseline.
- Acquisitions of Celestial AI and XConn caused GAAP net income to contract to $34.5M in the first quarter of fiscal 2027 due to a $250.7M contingent consideration charge, while a concurrent $2.0B preferred stock issuance expanded diluted shares to 915 million.

> **Our read:** Marvell's operational trajectory confirms an inflection in custom AI infrastructure shipments that more than offsets transitional margin dilution. With optical DSP leadership fortified and custom XPUs ramping at hyperscale volume, the company possesses structural operating leverage capable of driving substantial long-term equity appreciation.